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1. Which of the following conditions is not required for the Fundamental Welfare Theorem of economics to guarantee that market outcomes are Pareto efficient?
- A. Markets are complete
 - B. There are no externalities
 - C. Perfect information
 - D. Perfect competition/no firm profits
 - E. All of these conditions are necessary
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2. Which economist is most closely associated with the idea that capitalism and free markets solve a problem of aggregating decentralized information about consumer desires and the costs of production?
- A. Adam Smith
 - B. Friedrich Hayek
 - C. Ronald Coase
 - D. Joseph Schumpeter
 - E. Karl Marx
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3. Suppose that there is an increase in a firm's market power in relevant product markets. What is the immediate impact that you would expect to see on that firm's income statement?
- A. An increase in net income
 - B. A decrease in net income
 - C. An increase in shareholders' equity
 - D. A decrease in shareholders' equity
 - E. It would have no impact
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4. In the Google antitrust cases that you read about, which of the following is a strategy that the DOJ has argued is illegal?
- A. Giving a special preference to its own websites such as YouTube.
 - B. Paying Apple and Samsung to be the default search engines on their devices
 - C. Violating copyright law by indexing other companies web sites
 - D. Searching through users' private email messages
 - E. All of the above
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5. Which of the following features of laissez-faire U.S. capitalism was not a concern that contributed to the rise of progressive and socialist thought?
- A. Absence of consumer protection
 - B. Unsafe working conditions
 - C. Income inequality
 - D. Business cycles
 - E. All of these factors contributed
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6. How have governments intervened in the solar power sector to address environmental externalities?
- A. Subsidies for solar power installation
 - B. Patent protection for solar inventions
 - C. Tax credits R&D related to solar power
 - D. Taxes and regulation on fossil fuels
 - E. All of the above
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7. Which political and economic system is associated with the idea that nation states should use tariffs on foreign products to accumulate wealth by having a large trade surplus?
- A. Feudalism
 - B. Mercantilism
 - C. Capitalism
 - D. Socialism
 - E. Communism
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8. Which of the following is the best definition of the “no arbitrage” principle?
- A. It is impossible to make money buying and selling assets
 - B. Asset prices reflect all publicly available information at any point in time
 - C. It is not possible to earn a profit by simultaneously buying and selling an identical asset in two different markets
 - D. The value of an asset is equal to the discounted value of all future cash flows that it will produce
 - E. You can’t purchase anything good for a reasonable price at Breadwinners
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9. Stockbrokers normally use a standardized set of legal contracts when a customer buys shares in a public company, instead of hiring a lawyer to draft a new agreement for each purchase. In this example, standardization addresses what type of market failure?
- A. Market power
 - B. Negative externality
 - C. Positive externality
 - D. Transaction costs
 - E. All of the above
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10. Which of these are NOT characteristic of “inclusive economic institutions”?
- A. Secure property rights
 - B. Rule of law
 - C. Broad access to education and opportunities
 - D. Fair, open and competitive markets
 - E. They all are
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11. Anthony Allott is the former CEO of Siligan. What is the company’s main product? Does Siligan compete mainly in product markets or in factor markets? During his conversation with the class, Mr. Allott described how Siligan’s industry worked to address an externality. Describe the externality and the approach taken by Siligan to address it. [10 points]
- (Please write your essay response on a separate piece of paper)*
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12.

There is a new apartment building under construction just above the Massachusetts Turnpike on Brookline Avenue. Suppose there are two identical apartments for sale on the 10th floor. Both cost \$500,000 to build. A buyer is willing to pay up to \$1 million for the apartment on the East Side of the building (where you can see into Fenway Park) and \$750,000 for the apartment on the West side (where you can only see Boston University).

- If the buyer purchases the unit with a view of Fenway for \$850,000, how much value is captured by the buyer and seller respectively?
- What is the size of the externality that the Red Sox create in this scenario and who benefits from that externality?
- If the Red Sox owned the apartment building, would there still be an externality?

[10 points]

(Please write your essay response on a separate piece of paper)

13.

Adam Smith's most famous work, 'The Wealth of Nations', marked the transition between two political and economic systems. What were those two systems?

AND Briefly describe:

- (a) what Smith's idea of "the division of labor" means, and
- (b) how Smith's ideas are more "pro market" than "pro business."

[10 pts]

(Please write your essay response on a separate piece of paper)

14.

Please read to the bottom of this case. There will be an additional statement at the bottom confirming you have indeed reached the bottom.

The following information is sufficient to answer all of the questions below, but you may also draw upon your own knowledge if you think it would be useful.

Insurance and the Affordable Care Act

Health insurance is a very complex product. At a high level, an insurance policy is an agreement that a provider (seller) will pay money to the beneficiary (buyer) only if specific kinds of medical care are required. Because there are many kinds of medical care, and because the idea of “required” care is somewhat subjective, insurance contracts are typically extremely detailed and often difficult to understand.

For an insurance provider to remain in business, the price of its policies must be greater than the average medical care costs of its customers. For that reason, insurance companies sometimes refuse to sell certain policies to people who are already sick (which is called a “pre-existing condition.”)

Most Americans who are not eligible for Medicare or Medicaid (two government-sponsored insurance plans) will purchase insurance through their employer. Large employers typically negotiate directly with an insurance provider and then offer their employees a handful of options to choose from. Small employers and individuals who do not have access to employer-provided health insurance can purchase a plan directly from an insurer.

In 2010, 16 percent of American had no health insurance coverage. That year, Congress passed regulation called the Patient Protection and Affordable Care Act (PPACA). The PPACA did several things.

- It created strong financial incentives for States to create “insurance exchanges” where individuals could purchase private health insurance plans.
- It required that plans offered on the exchanges had to follow certain rules, including (a) no denying coverage to individuals with a pre-existing health condition, and (b) the policies must pay for certain common types of accident or illness.
- It imposed tax penalties on individuals who did not purchase any health insurance through either their employer, a government program, or an exchange.

The tax penalties in the PPACA were very controversial, and narrowly survived challenges in the US Supreme Court. By 2024, however, the share of uninsured Americans had fallen to around 8 percent.

- (a) When a large firm negotiates with a health insurance company on behalf of its employees, who is the Principal and who is the Agent? [3 points]
- (b) Describe a potential market failure in the market for individual health insurance that is similar to a market failure in the market for used cars. [4 points]
- (c) How do the tax penalties, which insurance companies lobbied heavily to include in the PPACA, address the market failure in part (b)? [4 points]
- (d) Will the standardization of the insurance products sold through the exchanges increase or reduce competition for those products? Explain. [4 points]
- (e) Explain why the PPACA can be considered a move away from “laissez-faire” capitalism towards a “mixed economy.” [5 points]

You have reached the bottom of all the text and questions for the case. This question is worth 20 points in totality
(Please write your essay response on a separate piece of paper)